

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

S.P.F. LOGISTICS, INC., *Complainant*

v.

HAPAG-LLOYD AG, *Respondent*.

DOCKET NO. 24-24

Served: January 14, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER TO FILE SUPPLEMENTAL BRIEFS

On September 12, 2024, Respondent Hapag-Lloyd AG (“Hapag-Lloyd”) filed a motion to dismiss the complaint for lack of subject matter jurisdiction (“Motion”) with a statement of undisputed material facts (exhibit 1) and bills of lading (exhibit 2). On September 26, 2024, Complainant S.P.F. Logistics, Inc. (“SPF”) filed a timely opposition to the motion to dismiss (“Opposition”) with a statement of disputed and undisputed facts (exhibit A) and a copy of its complaint (exhibit B). On October 3, 2024, Hapag-Lloyd filed a reply (“Reply”) with a reply to Complainant’s statement of undisputed material facts (Reply, exhibit 1).

Hapag-Lloyd asserts that summary judgment should be granted because the Commission lacks subject matter jurisdiction over the dispute because the conduct that underlies the basis for the Complaint relates to the inland movement of merchant haulage shipments. Motion at 2-3.

SPF contends that this Presiding Officer has previously held similar claims against Hapag-Lloyd were within the Commission’s jurisdiction; the Act does not impose any jurisdictional limitation on the Commission’s ability to enforce Shipping Act violations committed by ocean common carrier Hapag-Lloyd as alleged; Hapag-Lloyd misconstrues isolated comments made by the Commission in its proposed rulemaking concerning implementation of section 41104 of OSRA 2022 which was enacted after the shipments and invoices at issue; Respondent’s attempt to use a motion for summary judgment to challenge jurisdiction at this stage of the litigation is inappropriate and premature; and while SPF concedes that the Commission does not have a specific procedural rule regarding motions for summary judgment, Hapag-Lloyd has not met its burden to prevail. Opposition at 4-9.

Hapag-Lloyd argues in reply that the Commission twice stated that it lacks jurisdiction; past rulings/statements do not support a finding of jurisdiction in this proceeding; the argument regarding the timing of the conduct at issue related to the passage of OSRA 2022 is flawed; Complainant’s recitations of truisms regarding jurisdiction are unpersuasive; and the motion is timely, not premature. Reply at 2-6.

The complaint alleges a violation of section 41102(c). Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). To find a violation of this section, it must be established that the respondent was operating as a common carrier, marine terminal operator, or ocean transportation intermediary. Here, it is alleged that Hapag-Lloyd operated as a common carrier.

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water. Relevant here is the definition of an ocean common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7); *see also* 46 C.F.R. § 515.2(e).

The Commission has stated that “not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue.” *Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed Reg. 29638, 29650 (May 18, 2020). “The approach supported by the text of § 41102(c) and Commission caselaw asks: was the respondent acting as a regulated entity with respect to the conduct at issue?” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019) (remanding proceeding).

The Commission recently discussed the analysis with regard to a respondent named Service By Air, Inc. (“SBA”), stating:

The analysis focuses on SBA’s status with respect to the 28 shipments at issue. *See generally MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2020 FMC LEXIS 216, *6 (FMC 2020) (whether § 41102(c) applies depends on whether the respondent was acting as a common carrier for particular cargo); *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC Docket No. 08-04, 2011 FMC LEXIS 9, *39-*40 (ALJ Mar. 9, 2011) (common carrier status depends on handling of particular shipments at issue).

...

This fact-intensive inquiry looks “beyond documentary labels” and delves into respondent’s conduct regarding shipments at issue, while considering that the respondent may have acted as a common carrier in handling some shipments, but

not others. *Worldwide Relocations*, 2012 FMC LEXIS 23, *13 (citing *Containerships*, 9 F.M.C. at 66).

CMI Distribution, Inc. v. Service By Air, Inc., Docket No. 17-05, 2021 WL 3367603, at *4-5 (FMC July 26, 2021).

The Commission has clearly stated that not all activities of regulated entities are subject to the jurisdiction of the Commission.

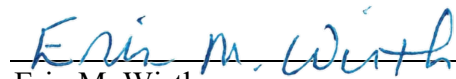
But the fact that Marine Transport is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c). *See Auction Block Co. v. City of Homer (Auction Block I)*, 33 S.R.R. 589, 2014 FMC LEXIS 16 (FMC 2014), *aff'd sub nom. Auction Block Co. v. Fed. Mar. Comm'n (Auction Block II)*, 606 Fed. Appx. 347 (9th Cir. 2015); *see also Petchem*, 28 F.M.C at 290 (publishing a tariff rate does not guarantee the Commission's jurisdiction). There must also be a link between the respondents' regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block II*, 606 Fed. Appx. at 347-48. That is, the inquiry is whether a respondent was acting as regulated entity with respect to the conduct at issue.

Crocus, 2019 WL 4734299, at *7.

The parties may file supplemental briefs addressing whether Hapag-Lloyd was acting as a regulated entity with respect to the conduct at issue in the complaint. The question is whether on a port delivery, return of the reefer containers was part of the international transportation regulated by the Commission or part of the merchant haulage which occurred after the regulated activity ended. Both parties should further expand upon SPF's argument that Hapag-Lloyd's "obligation to timely allow the return of an empty container is part of its obligations as an ocean common carrier and is not dependent on through or 'merchant haulage' moves." Opposition at 3.

The complaint alleges that the detention charges were incurred pursuant to the Uniform Intermodal Interchange and Facilities Access Agreement ("UIIA"). Complaint at 3. The parties should also submit a copy of this agreement or relevant portions of it so the undersigned can understand the contractual basis for the detention charges. Moreover, if the parties contend that discovery is needed to address the jurisdictional issue, they should specifically identify what discovery would be required and estimate the time necessary to complete that discovery.

Hapag-Lloyd should file its supplemental brief on January 29, 2025. SPF should file its supplemental opposition brief on February 14, 2025. Hapag-Lloyd may file a supplemental reply on February 24, 2025.


Erin M. Wirth
Chief Administrative Law Judge